



**DEPARTMENT OF DECISION SCIENCE
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DA3411 Business Valuation and Analysis

Individual Assignment 02

Investment Report: John Keells Holdings PLC

Lecturer- Mr. Harshana Lakmal

Name: Bavindu Gunasinghe

Index:226044G

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Investment Report: John Keells Holdings PLC

1. Introduction

John Keells Holdings PLC (JKH), listed on the Colombo Stock Exchange, is Sri Lanka's largest conglomerate with a market capitalization of LKR 386.12 billion as of May 2, 2025. Established in the 1870s, JKH has evolved into a diversified group operating across transportation, consumer foods & retail, leisure, property, and financial services. Its flagship brands include Cinnamon Hotels, Keells Supermarkets, and South Asia Gateway Terminal (SAGT). JKH is committed to sustainable growth, ethical practices, and social responsibility.

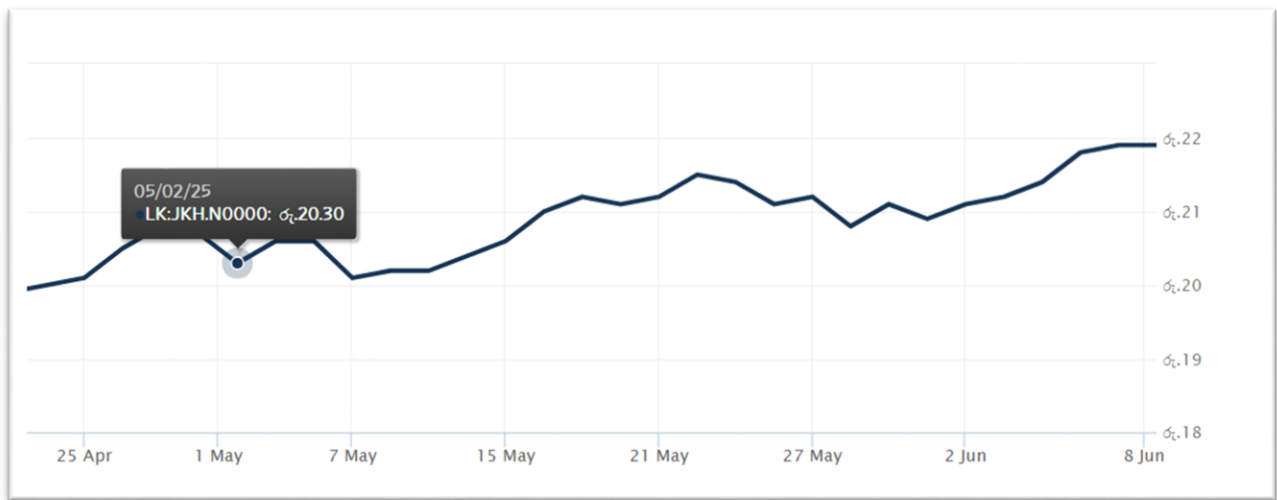
2. Financial Snapshots

In FY2024/25, JKH reported revenue of LKR 283.5 billion, a 12% increase from FY2023/24, driven by recovery in leisure and retail sectors (source: JKH Annual Report 2024/25). EBITDA stood at LKR 50.43 billion, excluding the City of Dreams Sri Lanka project. Return on Equity (ROE) was 1.3%, impacted by startup costs, while Return on Invested Capital (ROIC) was 5.2%. Earnings Per Share (EPS) was LKR 0.31, reflecting temporary earnings pressure. JKH maintains a strong balance sheet with LKR 399.1 billion in equity and a 1.2x current ratio, indicating liquidity resilience.

3. Valuation Analysis

Share Price on May 2, 2025

As of May 2, 2025, the share price of John Keells Holdings PLC was LKR 20.30 (Source: Wall Street Journal).



Intrinsic Valuation: Discounted Cash Flow (DCF)

The first step in a Discounted Cash Flow (DCF) valuation is to estimate the free cash flows that the company will generate in the future.

As a diversified group, John Keells' **EBITDA** is used to simplify the estimation of future cash flows.

- **EBITDA**

From the 2024/25 annual report, the group recorded an EBITDA of Rs. 50.43 billion, excluding the City of Dreams Sri Lanka project (which is still ramping up).

I assume that EBITDA will grow at **10% per year** for the next five years, based on economic recovery, new business segments (like EVs), and performance in sectors like retail and consumer foods.

- **Free Cash Flows (FCFs)**

Take 70% of EBITDA (assuming 30% is used for taxes, capex, and working capital changes). This gives approximate FCFs for five years.

- **WACC (Discount rate)**

For a Sri Lankan company like JKH, with relatively stable operations, here i assume,

Cost of Equity = 16%

Risk-free rate: Sri Lanka's 10-year yields are around 8% following monetary normalization

Market premium: Typically 6% for emerging markets

Beta (β): For JKH analysts often use $\beta = 1$ as a default.

To stay conservative and reflect JKH's large domestic exposure and history, analysts often round this to **15–17%**, so I used **16%**

Cost of Debt = 9%

Corporate lending rates in Sri Lanka are around 10-12% annual.

I used a before-tax cost of 11%, netting this down to ~9% post-tax as a conservative estimate.

Capital Structure

To remain conservative and reflect typical corporate structures (especially if relying on book values), I assumed 70% equity and 30% debt.

$$\text{WACC} = 70\% \times 16\% + 30\% \times 11\% \times 0.7 = 11.2\% + 2.31\% \approx \mathbf{13\%}$$

Estimate Free Cash Flows (FCFs)

- **Projected EBITDA**

Year	Calculation	Projected EBITDA (Rs.bn)
1	50.43*1.1	55.47
2	55.47*1.1	61.02
3	61.02*1.1	67.12
4	67.12*1.1	73.83
5	73.83*1.1	81.21

- **FCFs (70% of EBITDA)**

Year	EBITDA (Rs.bn)	Calculation	FCF (70%)
1	55.47	55.47*70%	38.83
2	61.02	61.02*70%	42.71
3	67.12	67.12*70%	46.99
4	73.83	73.83*70%	51.68
5	81.21	81.21*70%	56.85

- **Terminal Value**

$$\text{Terminal Value} = \frac{\text{FCF of fifth year} \times (1 + g)}{r - g}$$

g = terminal growth rate = 4%

Aligned with Sri Lanka's long-term GDP growth (source: World Bank)

r = discount rate (WACC) = 13%

$$\text{Terminal Value} = (56.85 \times 1.04) / (0.13 - 0.04) = \underline{\text{Rs. 656.9 billion}}$$

- **PV of FCFs**

Year	FCF	PV Factor @13%	PV of FCF
1	38.83	0.885	34.38
2	42.71	0.7831	33.44
3	46.99	0.6923	32.5
4	51.68	0.6129	31.69
5	56.85	0.5428	30.87

$$\text{PV of Terminal Value} = \text{Rs. 656.9 billion} \times 0.5428 = \text{Rs. 356.4 billion}$$

$$\text{Total Enterprise Value} = \text{PV of FCFs} + \text{PV of Terminal Value}$$

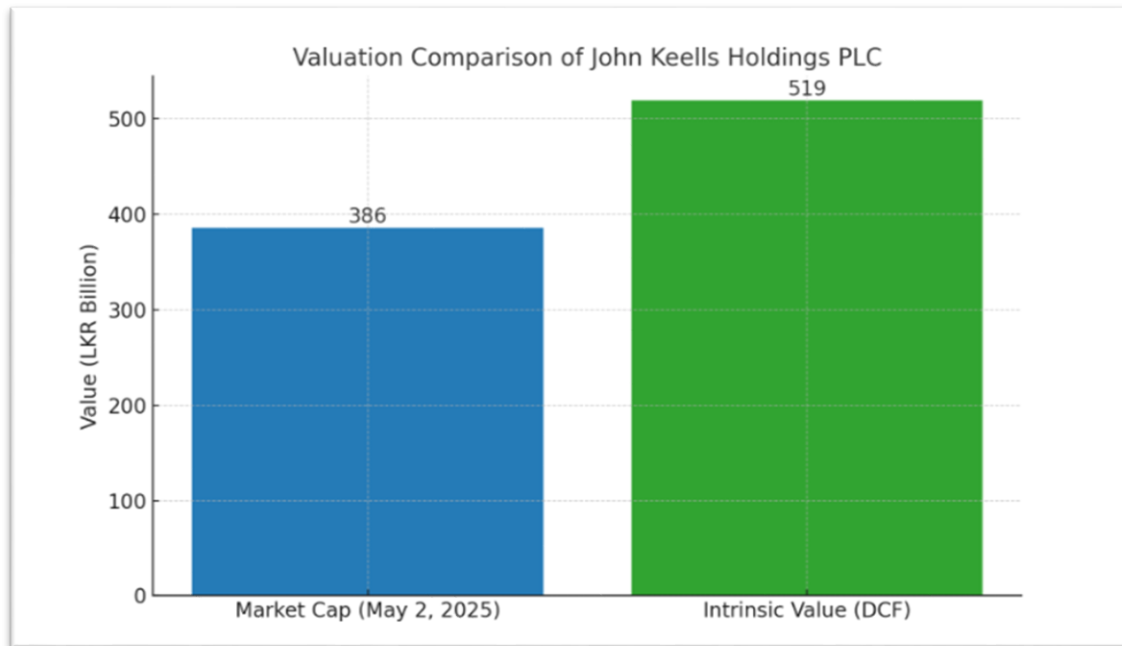
$$= 34.38 + 33.34 + 32.5 + 31.69 + 30.89 + 356.4$$

$$= \underline{\text{Rs.519.3 billion}}$$

- **Market Capitalization (on May 2, 2025)**

The Colombo Stock Exchange lists JKH's market cap as LKR 386,121,174,161.70, which is around **LKR 386.12 billion** (Shares Outstanding = 16,528,995,520).

Investment Recommendation



Based on the discounted cash flow (DCF) analysis, the intrinsic value of John Keells Holdings PLC is estimated at approximately **Rs. 519 billion**, which is **34.5% higher** than its market capitalization of **Rs. 386 billion** as at 02 May 2025.

This suggests that the stock is **undervalued**. I recommend a BUY rating for long-term investors.

Although recent investments may lead to higher short-term costs like depreciation, John Keells Holdings continues to show strong long-term financial health and a clear focus on future growth.

Relative Valuation

As of May 2, 2025, we use the following financial data for John Keells Holdings PLC

- **Earnings Per Share (EPS)**

$$\text{EPS} = \text{Net income} / \text{Shares Outstanding} = 5.1 \text{ billion} / 16.53 \text{ billion} = \underline{\underline{\text{LKR 0.31}}}$$

- **Book Value per Share (BVPS)**

$$\text{BVPS} = \text{Equity} / \text{Shares Outstanding} = 399.1 \text{ billion} / 16.53 \text{ billion} = \underline{\underline{\text{LKR 24.14}}}$$

Item	Value
Share Price	LKR 20.30
Market Capitalization	LKR 386.12 billion
Total Enterprise Value (EV)	LKR 519.3 billion
Earnings Per Share (EPS)	LKR 0.31
Book Value per Share (BVPS)	LKR 24.14
EBITDA (2024/25 excl. CODSL)	LKR 50.43 billion

Calculate Valuation Multiples for JKH

Ratio	Formula	Calculation	Value
P/E	Share Price ÷ EPS	20.30 ÷ 0.31	65.48
P/BV	Share Price ÷ BVPS	20.30 ÷ 24.14	0.84
EV/EBITDA	Enterprise Value ÷ EBITDA	519.3 ÷ 50.43	10.3

Comparison with Peers

Company	P/E	P/BV	EV/EBITDA
Hayleys PLC	7.9	1.3	7.1 (avg.)
Aitken Spence PLC	9.7	0.67	~6.5 (avg.)
Industry Average	~8.8	~0.99	~6.8
John Keells (JKH)	65.5	0.84	10.3

Investment Recommendation

John Keells Holdings PLC shows a very high P/E ratio (65.5) compared to peers such as Hayleys (7.9) and Aitken Spence (9.7). However, this inflated ratio is largely due to

temporarily low earnings in 2024/25, impacted by the ramp-up costs of large-scale projects like City of Dreams. As a result, the P/E ratio does not reflect the company's true earning capacity.

The P/BV ratio of 0.84× is below the industry average (~0.99) and clearly lower than Hayleys' (1.3), indicating that JKH is trading below its net asset value, a sign of undervaluation, particularly for a blue-chip conglomerate with high-quality assets.

The EV/EBITDA ratio of 10.3, while higher than peer averages (6.5–7.1), reflects JKH's diversified operations and the market's expectation of strong future cash flows from long-term projects in retail, leisure, and logistics.

JKH's P/E appears inflated due to suppressed short-term earnings, the P/BV indicates undervaluation and EV/EBITDA reflects expected future performance. These signals combined suggest that **JKH is undervalued relative to its long-term potential**, especially when compared with local diversified peers.

4. Segmental Opportunities

- Leisure: Tourism arrivals reached 2.3 million in 2024 (Sri Lanka Tourism Authority), boosting Cinnamon Hotels' occupancy rates. Planned expansions target luxury travelers.
- Consumer Foods & Retail: Keells Supermarkets and Elephant House benefit from rising consumer spending (3.5% GDP growth, CBSL 2024).
- Transportation: SAGT's efficiency and Port City Colombo's development enhance logistics prospects.
- Property: Cinnamon Life's completion in 2025 is expected to drive real estate revenue.
- Financial Services: Nations Trust Bank's digital transformation supports growth in retail banking.

5. Risks

- Currency Volatility: LKR depreciation (8% in 2024, CBSL) impacts import costs and overseas earnings.
- Tourism Fluctuations: Geopolitical or health crises could disrupt leisure revenue.
- Startup Costs: City of Dreams' ramp-up may pressure short-term earnings.
- Regulatory Risks: Higher taxes (15% VAT in 2025) could affect consumer spending.

6. Macroeconomic Context

Sri Lanka's economy stabilized in 2024 with 3.5% GDP growth. Tourism recovery and export incentives (EDB policies) support JKH's leisure and retail segments. Infrastructure projects like Port City Colombo enhance property and transportation prospects.

7. Investment Recommendation

Based on both intrinsic and relative valuation analyses, John Keells Holdings PLC appears **undervalued** at its current market price of LKR 20.30. The DCF model estimates an intrinsic equity value of LKR 519.3 billion, which is approximately 34% higher than the market capitalization of LKR 386.12 billion, reflecting the company's long-term cash flow potential, particularly from strategic projects such as City of Dreams Sri Lanka and the West Container Terminal.

Although the company's P/E ratio of 65.5 is significantly higher than peers, this is a result of temporary earnings suppression. Meanwhile, the P/BV ratio of 0.84 indicates the stock is trading below its book value, and the EV/EBITDA of 10.3× supports future growth expectations.

Recommendation: BUY – JKH is fundamentally undervalued with strong asset support, diversified growth, and long-term upside from large-scale investments.

8. References

- John Keells Holdings PLC 2024/2025 Annual Report.

- Colombo Stock Exchange. (2025):[CSE - Colombo Stock Exchange](#)
- Central Bank of Sri Lanka (CBSL). (2024). Annual Report
- Annual Report 2024/25 | HAYLEYS PLC
- AITKEN SPENCE PLC 2024/2025 Annual Report